ASSET PURCHASE AGREEMENT — Buyer's draft (Lone Star Millwork Holdings LLC) — key sections

2.4 Earn-Out. In addition to the Closing Payment, Buyer shall pay Seller an amount equal to 40% of the amount by which **EBITDA** of the Business for the twelve months following Closing exceeds $700,000, up to a maximum of $400,000. *"EBITDA" shall mean earnings before interest, taxes, depreciation and amortization of the Business as determined by Buyer in good faith in accordance with Buyer's accounting policies, consistently applied.*

3.1 Purchased Assets. All assets of the Business including the Assigned Contracts listed on Schedule 3.1(c). **3.3 Required Consents.** Seller shall use commercially reasonable efforts to obtain the consents listed on Schedule 3.3 prior to Closing. *(Schedule 3.3, as drafted by Buyer: "None.")*

4.12 Employees and Contractors. Seller represents that all individuals providing services to the Business **have been properly classified** as employees or independent contractors under applicable law and that Seller has withheld and paid all required taxes.

7.1 Indemnification by Seller. Seller shall indemnify Buyer for Losses arising from any breach of representation or warranty. **7.4 Limitations.** (a) Seller shall have no liability under 7.1 until aggregate Losses exceed **$75,000 (the "Basket"), and then only for Losses in excess of the Basket** [deductible]. (b) Seller's aggregate liability under 7.1 shall not exceed **10% of the Purchase Price** (the "Cap"), except for Fundamental Representations and **Section 4.12**, which shall be subject to a cap equal to the Purchase Price. (c) **Buyer's right to indemnification shall not be affected by any knowledge acquired (or capable of being acquired) by Buyer at any time, whether before or after the execution of this Agreement, with respect to the accuracy or inaccuracy of any representation.** (d) Survival: 18 months; §4.12 and taxes: statute of limitations plus 60 days.

8.2 Non-Competition. Seller and Ray Brightline shall not compete in the custom cabinetry business within **500 miles** of Austin for **7 years**.

9.3 Escrow. $310,000 (10%) for 18 months.